

Assignment – Problem Statement

Data Guidelines

- List of Companies have been provided and each group is assigned 2 Companies and a Bond.
- For stock prices: use data up to the most recently completed financial year
- For financial analysis: use consolidated statements of the latest available annual report
- Any assumptions made, or information taken from the Internet should be cited appropriately

Company-1

Capital Structure Analysis

I. Beta Estimation and Cost of Equity

Download three years of weekly closing prices for your assigned company and the NIFTY 50 Index. Convert price levels into weekly percentage returns. Use returns, not price levels, for the analysis. Run a linear regression. Report the Beta, t-statistic, p-value, R-squared, and the number of observations. Provide a relevant analysis of the beta calculation. Estimate the cost of equity using the Capital Asset Pricing Model (CAPM).

II. Bond Analysis & Cost of Debt

Analyse the firm's long-term debt through its assigned ISIN to determine the cost of debt. You can use websites like BondsIndia. Extract the Coupon Rate, Face Value, Maturity Date, Last Traded Yield (YTM), and Credit Rating. Determine if the bond is trading at a premium or discount. Compare the coupon rate versus the YTM and explain why a difference exists. Identify the yield of the nearest-maturity government bond and calculate the yield spread. Further, interpret the spread in terms of credit risk, liquidity, and market conditions. Calculate the pre-tax cost of debt using bond information.

III. Weighted Average Cost of Capital (WACC)

Using the information above and the latest Debt-to-Equity ratio, calculate the firm's WACC.

Company-2

Part 1: Corporate Governance

As per the latest Financial report, comment on:

- Is it a family-run business?
- Size of board: Is the Chairman of the Board also the top manager of the firm (i.e. whether it's a case of CEO Duality), if so, is it benefiting the company? If CEO duality is not the case, mention the same and briefly highlight its impact on the firm's decision-making for your company
- Gender Diversity on the Board of Directors and Number of independent directors
- Brief background of executive and non-executive directors – age, experience, qualification, competence, etc. Serious (potentially impactful) lawsuits filed against the firm
- Auditor of the company and the auditor's experience regarding the truthfulness and reliability of the accounting practices of the company
- As per your findings, is information asymmetry a potential contention between the board of directors and the top management?

Part 2: Corporate Finance

A. Working Capital Analysis

List the Current Assets and Current Liabilities of the company for at least the past 3 years. Report on the net working capital of the company each year. Analyze the Trend of working capital over the past three years using relevant Working Capital ratios and interpret the results briefly. How does the company currently fulfil its working capital requirements?

B. Capital Expenditure (CapEx) Analysis

Provide a capital expenditure table for at least the past three years, identifying major projects relative to the firm's size. Highlight whether the expenditure is related to expansion in the same line of business, diversification, replacement, or R&D. Indicate the major sources of capital for the company. Also, report the Return on Invested Capital (ROIC) individually for each year.

C. Capital Structure Analysis

Provide an analysis of the capital structure of the company over the sample period using quarterly data. Identify the major sources of funding. Assess whether the company's financing decisions are linked to its investment and capital expenditure requirements. Evaluate whether the company is generating sufficient operating cash flows to meet its Capex and other financial obligations. Use relevant data, ratios, and supporting interpretation to justify your analysis.

D. WACC and Growth Rate Estimation

Estimate the firm's Weighted Average Cost of Capital (WACC) using relevant weights, costs of debt and beta value directly taken from the latest annual reports or any other appropriate sources. Evaluate where the firm lies in its corporate lifecycle and state the relevant growth rate. Also, calculate the Degree of Operating and Financial leverage for the company based on the latest annual report.